

Let's Talk Finance 2

# **Glossary**

This document provides reference definitions for the finance vocabulary introduced across the 20 topics of ***Let's Talk Finance 2***.

Each entry explains what the term means in plain English, why it matters, and how it comes up in the Reading that introduces it — anchored, where possible, to a real figure or example from that article.

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## Let's Talk Finance 2: Glossary

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**Actively managed fund.** An investment fund in which a manager picks and chooses which shares or bonds to buy and sell, aiming to beat the overall market, as opposed to an index fund that simply tracks the market. Actively managed funds usually charge higher fees for this effort, and data from S&P Dow Jones Indices cited in the Reading found that about 88% of professionally managed US large-company funds still did worse than their benchmark index over the 15 years to mid-2025. This is the central reason the Reading treats a low-cost index fund as the more reliable choice for most ordinary savers. [1.3]

**Affordability.** How easily an average household's income can cover the cost of buying or renting a home, usually judged by comparing house prices or rents with typical wages. Affordability worsens whenever prices climb faster than incomes, which is exactly what the Reading describes happening across much of the rich world after the 1990s as demand for housing outran a slow-to-grow supply. New Zealand is the clearest example given: real house prices there more than doubled between 2000 and 2007 before falling back after interest rates rose in 2022. [1.4]

**Asset bubble.** A situation in which the price of something — bulbs, shares, land, or a cryptocurrency — rises far above any sensible estimate of its real worth, usually driven by cheap borrowed money, herd behaviour and a belief that “this time is different.” The Reading traces the pattern from the 1637 Dutch tulip-bulb collapse through the 1929 Wall Street crash to Japan's late-1980s property and share bubble, showing the same three ingredients each time. A bubble always ends when buyers stop believing the price will keep rising, though how long the recovery afterward takes can range from a few weeks (the 2022 Luna cryptocurrency collapse) to more than three decades (the Nikkei 225 after 1989). [3.2]

**Authorised push payment.** A type of fraud in which the victim is tricked into personally sending a bank transfer to the criminal, which makes the payment harder to reverse because the account holder technically approved it themselves. The Reading identifies this as a common method running through many different scam types, from fake investment platforms to romance scams, and reports that from October 2024 the United Kingdom began requiring banks to reimburse most victims of this kind of fraud, up to GBP 85,000 per claim. [1.5]

**Bank run.** A situation in which many depositors try to withdraw their money from a bank at the same time, out of fear that the bank might fail, which can force even a fundamentally sound bank to sell assets at a loss and collapse. The Reading's central example is Silicon Valley Bank, whose customers tried to withdraw more than US\$40 billion in a single day in March 2023 — faster than any bank run in modern records — leading regulators to close it. Deposit insurance and a central bank acting as lender of last resort are the two tools governments use to try to prevent a run from starting in the first place. [2.5]

**Base salary.** The fixed, guaranteed part of an executive's pay, paid regardless of how the company performs, as distinct from a bonus or stock-based pay that varies with results or the share price. The Reading notes that base salary is usually a relatively modest share of a top executive's total package today, with stock-based pay making up the large majority of a big American chief executive's pay by comparison. [2.4]

**Benchmark price.** A widely used reference price for a commodity that other prices and contracts around the world are set against, such as Brent crude for oil. The Reading points to Brent crude rising above US\$120 a barrel in March 2022, its highest level since 2008, after Russia's invasion of Ukraine disrupted global energy markets — showing how a single benchmark price can move sharply and reach buyers everywhere at once. [3.3]

**Bond yield.** The annual return an investor earns on a government bond, expressed as a percentage of its price, which rises when a bond's price falls (and vice versa) and rises further when investors see a government's finances as riskier. The Reading uses the bond market's reaction to the UK's unfunded September 2022 tax cuts as its example: government bond (“gilt”) prices fell at their fastest rate in decades, meaning yields spiked, forcing the Bank of England into emergency purchases and eventually costing the prime minister their job. [4.2]

**Budget deficit / surplus.** The gap in a single year between what a government spends and what it raises in tax: a deficit when spending exceeds revenue, a surplus when revenue exceeds spending. The Reading uses this as the first of three linked ideas (with debt and the debt-to-GDP ratio) needed to understand the UK's 2022 crisis, when about GBP 45 billion of unfunded tax cuts triggered a bond-market collapse because the

market doubted how the resulting deficit would be paid for. [4.2]

**Buy-now-pay-later.** A form of short-term borrowing that splits a purchase into a few interest-free instalments at the checkout, usually offered by a retailer's payment partner rather than a bank. The Reading reports that the UK market grew from under GBP 0.1 billion in 2017 to more than GBP 13 billion by 2024, with about one in five UK adults having used it, and that regulators only began requiring affordability checks on these plans from July 2026. [1.2]

**Capital outflow.** Money leaving a country quickly, usually because international investors have lost confidence or global conditions have changed, which is a particular risk for economies that depend heavily on foreign investment. The Reading connects capital outflow directly to the danger of a sudden stop, in which money that flowed into an emerging market can reverse fast once global interest rates rise or risk appetite falls, as happened worldwide in 2022. [3.5]

**Cashless society.** A society in which most everyday payments are made electronically rather than with physical banknotes and coins. The Reading contrasts Sweden, where the share of people using cash for their most recent purchase fell from about 40% in 2010 to about 8% in 2022, with Japan, where cash is still used in more than four in ten retail purchases — showing that becoming cashless depends on interest rates, demographics, trust and habit, not simply on available technology. [4.5]

**Central bank.** The public institution responsible for a country's money supply and monetary policy, most visibly by setting the main interest rate and, in a crisis, by lending to banks as lender of last resort. The Reading uses the Bank of Japan's 2024 decision to raise its main interest rate above zero for the first time since 2007 as a landmark example, and returns to central banks throughout the book — setting inflation targets, intervening in currency markets, and standing behind the banking system. [1.1, 1.4]

**Central-bank digital currency (CBDC).** A digital form of money issued directly by a central bank, rather than by a commercial bank, functioning as a digital equivalent of the cash a central bank already issues. The Reading notes that CBDCs are being piloted in many countries, with China and India furthest along, but that most remain at the pilot stage, since the large majority of money in modern economies is already digital in the form of commercial-bank deposits. [4.5]

**Collateral.** An asset pledged to a lender that can be seized and sold if the borrower fails to repay,

which lowers the lender's risk and usually lowers the interest rate charged. The Reading uses collateral in two ways: as the good-quality assets a central bank lends against when acting as lender of last resort to a struggling bank [2.5], and, in the bubbles topic, as the soaring land values that Japanese banks accepted as loan collateral during the late-1980s bubble, leaving them badly exposed once land prices collapsed by roughly 87% [3.2]. [2.5, 3.2]

**Collective bargaining.** The process by which workers negotiate pay and conditions together, usually through a union, rather than each worker negotiating alone. The Reading cites a 2022 decision by a Tokyo labour board that found Uber Eats couriers are “workers” under Japanese union law and can bargain collectively, a decision the company has challenged, as one of the ways legal systems have tried to extend some employee-style protections to platform workers. [2.3]

**Commodity.** A raw material such as oil, wheat or a metal that is traded in bulk and is largely interchangeable regardless of which supplier produced it, so its price is set globally rather than locally. The Reading's opening example is a Tokyo bakery whose flour price jumped by about a third in March 2022 after Russia's invasion of Ukraine, since Russia and Ukraine together supplied roughly 30% of world wheat exports — illustrating how a shock to a commodity anywhere reaches buyers everywhere at once. [3.3]

**Compounding.** The process by which interest is charged not only on an original amount borrowed or saved, but also on interest that has already accumulated, so a balance grows faster and faster over time. The Reading explains this using an unpaid credit-card balance, where interest added one month is itself charged interest the next, which is why a balance that is never fully cleared can grow quickly even without new spending being added. [1.2, 1.3]

**Consumer credit.** Money lent to individuals for personal spending, such as through credit cards, car loans or personal loans, as distinct from lending to businesses. The Reading compares the roughly 21% average US credit-card interest rate with the roughly 6.7% average rate on a new US home loan in 2026, showing that the price of consumer credit varies enormously depending mainly on whether the loan is backed by an asset the lender could seize. [1.2]

**Consumer protection.** Rules that put the responsibility for a financial risk on the institution best placed to prevent or absorb it, rather than leaving an individual customer to bear it alone.

The Reading treats the United Kingdom's post-2024 bank-reimbursement rule for authorised push payment fraud as exactly this kind of measure: rather than treat a scam purely as the victim's own mistake, it requires banks to share the cost of reimbursing most victims, up to GBP 85,000 per claim. [1.5]

**"Cost disease" (Baumol).** Economist William Baumol's explanation for why the cost of live performance keeps rising relative to the rest of the economy: a string quartet still needs four players for the same length of time as in 1800, so as wages generally rise, the relative cost of putting on a live performance keeps climbing too. The Reading uses cost disease to explain why orchestras, opera and theatre cannot cover their costs from ticket sales alone and need subsidy or philanthropy indefinitely, unlike a reproducible product such as anime. [4.3]

**Currency intervention.** Action by a government or central bank to buy or sell its own currency in the foreign-exchange market, aiming to push its value up or down. The Reading reports that Japan's Ministry of Finance spent about JPY 9.8 trillion in 2022 buying yen and selling dollars to slow the yen's fall, while noting that such intervention can smooth a currency's move but rarely reverses the underlying gap in interest rates that is driving it. [3.4]

**Currency mismatch.** A situation in which a borrower's debt is in one currency (often US dollars or euros) but its income and assets are in another (its local currency), so that a fall in the local currency makes the debt heavier to repay in real terms. The Reading identifies currency mismatch as the central catch in international dollar or euro borrowing by developing countries, and notes that countries which had borrowed heavily this way, such as Sri Lanka, defaulted when global conditions tightened in 2022, while countries with deeper local savings absorbed the shock. [3.5]

**Currency peg.** An arrangement in which a country fixes its exchange rate at a set value against another currency, usually the US dollar, and commits to maintaining that rate. The Reading gives Hong Kong, pegged since 1983, as an example of the trade-off involved: a peg brings trading stability but means importing the anchor country's monetary policy, so Hong Kong's interest rates had to follow the US Federal Reserve's rate rises in 2022 whether or not its own economy needed them. [3.4]

**Debt (corporate finance).** Money a company borrows, through bank loans or bonds, which leaves ownership of the company unchanged but

must be repaid with interest regardless of how the business performs. The Reading sets debt directly against equity as the two basic ways a company can raise money, noting that debt must be repaid whether business is good or bad, unlike equity, which never has to be repaid but gives up part ownership. [2.1]

**Debt-to-GDP ratio.** A country's total accumulated government debt expressed as a share of its annual national output (GDP), used to judge how large that debt is relative to the size of the economy that has to eventually service it. The Reading's central puzzle is Japan, whose debt-to-GDP ratio is well over 200%, comfortably the highest in the rich world, yet whose bonds pay very low interest because the debt is held almost entirely by Japanese institutions and households rather than by international investors who might demand a higher return. [4.2]

**Deflation.** A general and sustained fall in prices over time, the opposite of inflation. The Reading explains that deflation is dangerous because people delay spending when they expect things to get cheaper, and cites Japan's roughly 25-year experience of near-zero inflation and sometimes falling prices as the clearest real-world example of why central banks want a small safety margin above zero rather than targeting 0% inflation directly. [1.1]

**Deposit.** Money that a customer places with a bank, which the customer can withdraw at any time (or after a set period), and which the bank in turn lends out to others as loans. The Reading uses ordinary deposits as the starting point for explaining maturity transformation: a bank takes in short-term deposits and lends most of that money out for years, which is useful for the economy but leaves every bank structurally unable to repay all its depositors at once. [2.5]

**Deposit insurance.** A government-backed promise that ordinary savers will get their money back, up to a set limit, even if their bank fails, designed to remove the reason for a nervous depositor to join a bank run. The Reading gives the figures directly: the US limit is US\$250,000 per depositor per bank, while Japan's Deposit Insurance Corporation covers ordinary deposits up to 10 million yen plus interest and covers everyday settlement accounts in full. [2.5]

**Depreciation.** A fall in the value of an asset over time, usually because it wears out or becomes outdated. The Reading applies this specifically to Japanese housing, where the building itself, unlike the land beneath it, is treated as a wasting asset — the tax system assigns a wooden house a

life of about 22 years, so a home in Japan behaves more like a car that loses value than a store of wealth. [1.4]

**Development finance institution.** A body such as the World Bank, a regional development bank, or a national aid agency that lends to developing countries on lower rates and longer terms than commercial markets, usually attaching conditions to the loan. The Reading names Japan, through the Japan International Cooperation Agency and its leading role at the Asian Development Bank, as one of the largest bilateral providers of this kind of finance, funding transport, energy and water projects across South and South-east Asia — while noting critics say it can tie borrowers to Japanese contractors. [3.5]

**Disclosure (pay).** The requirement for a company to make specific facts about executive pay public, rather than keeping them private. The Reading describes how US listed companies have had to publish the ratio of chief-executive pay to their median employee's pay since 2018, and how Japan has required any director paid 100 million yen or more to be named individually since 2010 — a rule that identified a record 1,345 such executives at 606 companies in the year to March 2025. [2.4]

**Diversification.** Spreading money across many different investments rather than concentrating it in one, so that no single failure causes severe damage to the whole portfolio. The Reading presents diversification, alongside a long time horizon, as one of the two practical tools that let an investor ride out the ups and downs of the stock market described earlier in the same topic, where a global study found shares returning about 5% a year after inflation from 1900 to 2024, but with wide swings around that average. [1.3]

**Donor-advised fund (DAF).** An account into which a donor puts money and receives an immediate tax deduction, while retaining the right to recommend which charities receive grants from it later, with no legal deadline for actually giving the money away. The Reading cites donor-advised funds, alongside private foundations that must distribute only about 5% of their assets a year, as a structural feature of institutional philanthropy that critics such as Rob Reich argue lets money sit for years while still earning the donor a tax benefit upfront. [4.4]

**Down round.** A new round of startup fundraising in which the company is valued lower than it was in its previous round, which dilutes (reduces the ownership share of) founders and early staff. The Reading explains that a down round tends to happen when overall venture funding tightens,

and gives WeWork, once valued at US\$47 billion in early 2019 before failing to list and later filing for bankruptcy in 2023, as the most striking recent example of a funding collapse of this kind. [2.2]

**Emerging market.** An economy that is growing and opening up to foreign investors but is not yet as stable, wealthy or well-regulated as an advanced economy, offering investors higher potential returns in exchange for greater currency, political and capital-flow risk. The Reading contrasts India, added to a major global bond index in 2024 and able to borrow at yields close to 7%, with Egypt, which needed an expanded IMF programme and a large UAE investment deal in the same year — showing the label covers a wide range of actual risk. [3.5]

**Endowment.** A large pool of money held by a foundation, university or similar institution and invested for the long term, with only a portion of its investment returns spent each year rather than the underlying capital itself. The Reading gives the Wellcome Trust's roughly GBP 37.6 billion endowment, one of the world's largest, as an example of how a large endowment can fund an entire programme of health and science research indefinitely from its investment income alone. [4.4]

**Equity (corporate finance).** Shares of ownership in a company, sold to raise money that never has to be repaid, but which gives the new owners a claim on future profits and a say in company decisions. The Reading contrasts equity directly with debt as the two basic ways to raise money, and distinguishes private equity, raised from founders and investment firms while the company stays closed, from public equity, raised by listing shares on a stock exchange through an IPO — as SpaceX and Figma did in different ways in 2025. [2.1]

**Exchange rate.** The price of one currency expressed in terms of another, set like any other price by supply and demand. The Reading's central example is the Japanese yen, which fell from about 115 per US dollar at the start of 2022 to around 160 by 2024 as the US Federal Reserve raised interest rates sharply while the Bank of Japan held its own rate near zero, pulling money out of yen and into higher-yielding dollars. [3.4]

**Executive compensation.** The total pay package given to a company's most senior executives, typically combining a base salary, an annual bonus and stock-based pay. The Reading's headline figure is that the chief executives of the 350 largest US companies were paid about 281 times as much as a typical worker in their industry in

2024, up sharply from 21 times in 1965, a gap now the subject of disclosure rules and shareholder votes in most rich countries. [2.4]

**Exit.** The event through which a venture capital fund or other early investor turns its shares in a startup back into cash, usually by the company being sold to a larger firm or by it listing its shares on a stock exchange. The Reading presents the exit as the end goal that the whole staged system of startup fundraising is built around, since investors accept that most of their bets will fail in exchange for the chance that one investment exits at a value large enough to carry the whole fund. [2.2]

**Fiat money.** Money that has value only because a government declares it legal tender, rather than because it is backed by a physical commodity such as gold or silver. The Reading places fiat money as one stage in a longer historical sequence — after commodity money, minted coins and gold-backed notes, and before bank deposits, payment cards and today's digital payment methods — showing that money's form has changed many times while the underlying unit of account, such as the yen, has stayed the same. [4.5]

**Fixed exchange rate.** An exchange rate that a government commits to holding at a set value against another currency, rather than letting it move freely with supply and demand. The Reading uses Hong Kong's US-dollar peg, in place since 1983, as its example, explaining that a fixed rate brings trading stability but forces a country to follow the anchor currency's interest-rate decisions, as Hong Kong had to do when the US Federal Reserve raised rates in 2022. [3.4]

**Floating exchange rate.** An exchange rate that a country lets move freely, set by supply and demand in the market rather than fixed by the government. The Reading uses Japan's yen as its main example of a floating exchange rate, showing that this system cannot be strong for exporters and strong for importers at the same time: a weak yen boosted exporters' profits while raising the cost of imported oil, gas and food for households. [3.4]

**Foreign direct investment.** Money invested by a foreign company to build a lasting business presence in another country, such as constructing a factory or buying a controlling stake in a local firm, rather than simply buying financial assets that could be sold quickly. The Reading describes foreign direct investment as the most stable of the three main ways developing countries fund growth, precisely because it is hard to pull out quickly compared with money borrowed on

international bond markets, though it tends to flow mainly to a few larger emerging economies. [3.5]

**Foundation.** A charitable organisation, usually endowed with a large sum of money, that gives away grants from its investment income each year rather than spending down its underlying capital immediately. The Reading uses the private foundation as its starting example of institutional philanthropy's structure, noting that in the United States such a foundation need only distribute about 5% of its assets a year to keep its tax exemption, which is part of why critics question its long-term accountability. [4.4]

**Fraud.** A broad term for dishonestly deceiving someone to gain money or property, covering many specific methods such as scams, phishing and impersonation. The Reading opens with the figure that people in the United States reported losing US\$12.5 billion to fraud in 2024, about a quarter more than the year before, while noting that this reported figure understates the true scale because much fraud goes unreported out of embarrassment or uncertainty about where to complain. [1.5]

**Fundamentals.** The underlying, measurable drivers of a company's or a market's value — chiefly its earnings (actual profits) and prevailing interest rates — as distinct from short-term investor sentiment or mood. The Reading identifies fundamentals as the most durable driver of stock-market moves, noting that more than three-quarters of the S&P 500's roughly 18% return in 2025 came from higher earnings rather than investors simply paying more per dollar of profit. [3.1]

**Funding round.** A single stage of fundraising in a startup's life, in which it sells a slice of ownership to investors in exchange for cash meant to last until the next milestone, typically labelled in sequence as Series A, Series B and so on after the initial seed round. The Reading describes each successive funding round as usually priced higher than the last if the company is progressing well, which is the reverse of what happens in a down round, when the price falls instead. [2.2]

**Gig economy, the.** The broad pattern of short-term, app-arranged work — such as food delivery or ride-hailing — that has grown across many economies, built around platform work rather than traditional employment. The Reading frames the gig economy's central legal question as whether these workers are genuinely self-employed, as platforms claim, or employees entitled to labour protections, and shows the United King-

dom, the European Union, California and Japan each answering that question differently. [2.3]

**Global minimum tax ("Pillar Two").** An international agreement, reached by around 140 countries in 2021, setting a 15% minimum effective tax rate on the profits of large multinational companies, so that any shortfall from a company shifting profit into a very-low-tax country gets "topped up" by tax collected elsewhere. The Reading notes the rules took effect from 2024 in the EU, UK, Japan and South Korea, but that the United States moved to withdraw its support in 2025, raising the question of whether the agreement can work without full participation. [4.1]

**Government (sovereign) debt.** The total accumulated amount a national government owes, built up from years of running budget deficits, usually in the form of bonds sold to investors. The Reading contrasts the United States, whose sovereign debt approached US\$40 trillion and has been downgraded by all three major rating agencies, with Japan, whose government debt is over 200% of GDP yet has never faced a market crisis, because it is held almost entirely by domestic institutions and households rather than foreign investors. [4.2]

**Herd behaviour.** The tendency of people to buy (or sell) an asset simply because others are doing so, rather than because of their own independent judgement of its value. The Reading names herd behaviour, alongside cheap or borrowed money and "this time is different" thinking, as one of the three forces that carry an asset bubble upward, drawing more buyers in as a price rise appears to confirm itself. [3.2]

**Housing supply.** The number of homes available in a market, which the Reading describes as slow to respond to rising demand because land is limited and new building is controlled by planning rules. The Reading contrasts this constrained supply with Auckland's 2016 decision to loosen its zoning rules, after which research found the number of new homes approved each year roughly doubled and rents rose more slowly than in the rest of New Zealand. [1.4]

**Impact investing.** Deploying money into investments chosen specifically to produce a measurable social or environmental benefit alongside a financial return, rather than for financial return alone. The Reading reports that impact investing had grown to an estimated US\$1.57 trillion in assets by 2024, presenting it as one of several responses — alongside spend-down foundations and unrestricted giving — that try to make large-scale philanthropy more accountable and outcome-focused. [4.4]

**Independent contractor.** A worker who is legally self-employed and contracts their services to a company, rather than being that company's employee, and who therefore typically lacks employee protections such as a minimum wage guarantee, paid leave or unemployment cover. The Reading uses California's Proposition 22, upheld by the state's Supreme Court in 2024, as its central example: ride-hailing and delivery companies spent more than US\$200 million campaigning to keep their drivers classified as independent contractors rather than employees. [2.3]

**Index concentration.** The degree to which a stock market index's overall value depends on just a small number of very large companies within it, rather than being spread evenly across all its members. The Reading reports that by the end of 2025 the ten largest companies in the S&P 500 made up a record 40.7% of its total value, roughly double their share a decade earlier, meaning the whole index's daily direction can be set by news about just one or two companies. [3.1]

**Index fund.** A fund that simply buys and holds all (or a representative sample) of the shares in a market index, tracking the market's overall performance rather than trying to pick individual winners. The Reading recommends the index fund as the practical choice for most savers, citing data showing that about 88% of professionally managed funds investing in large US companies did worse than their benchmark index over the 15 years to mid-2025, largely because of the fees actively managed funds charge. [1.3]

**Inflation.** The rate at which prices rise over time, so that the same basket of goods costs more than it did before. The Reading's central example is the sharp global inflation after 2021, when US consumer prices in June 2022 were 9.1% higher than a year earlier — the largest 12-month increase in about 40 years — driven mainly by pandemic-disrupted supply chains and rising energy and food prices after Russia's invasion of Ukraine. [1.1, 1.3, 1.4, 3.3, 3.4, 4.2, 4.5]

**Inflation target.** A publicly stated goal for the annual rate of inflation that a central bank aims to achieve, usually set at a low positive number rather than zero. The Reading explains that the European Central Bank, the Bank of England and the US Federal Reserve all target 2% over the medium term, because a small positive target gives a safety margin against deflation, which is harder to fix once it takes hold. [1.1]

**Initial public offering (IPO).** The first sale of a company's shares to the public, after which those shares begin trading freely on a stock exchange. The Reading's opening example is Figma, which

raised about US\$1.2 billion through an IPO on the New York Stock Exchange in 2025 — a route the Reading contrasts with SpaceX, which stayed private and raised money from selected investors instead of ever holding an IPO. [2.1]

**Interest rate.** The price of borrowing money, or the reward for lending or saving it, expressed as a percentage of the amount involved. The Reading introduces interest rate through the sharp rate rises central banks made through 2022 and 2023 to fight inflation, and returns to it throughout the book, including the Bank of Japan's 2024 move above zero for the first time since 2007 and the widening gap between US and Japanese rates that later drove the yen down. [1.1, 1.2, 1.4]

**Interest rate differential.** The gap between the interest rate set by one country's central bank and the rate set by another's, which is what mainly drives money to move from one currency into another. The Reading identifies the widening interest rate differential between the US Federal Reserve, which raised rates sharply through 2022, and the Bank of Japan, which held its rate near zero, as the main reason investors moved money out of yen and into dollars, weakening the yen. [3.4]

**Investing.** Putting money into assets, such as company shares, whose value can fall as well as rise, in the expectation that over long periods it will grow more than money simply kept as cash. The Reading distinguishes investing sharply from saving, and cites a study finding that global shares returned an average of about 5% a year after inflation from 1900 to 2024, compared with under 2% for government bonds — a gap that compounds significantly over long periods, though any single 20-year stretch can differ widely from that average. [1.3]

**Investment fraud.** A scam in which criminals persuade victims to hand over money for a fake or worthless investment opportunity, often the largest single reported category of fraud. The Reading identifies fake investment platforms as the largest single category behind the US\$12.5 billion in fraud losses reported in the United States in 2024, and traces how a newer combined scheme starts as a fake romance before moving the victim into a fake investment, sometimes in cryptocurrency. [1.5]

**Investor sentiment.** The collective mood of confidence or fear among investors at a given time, which can move share prices even without any change in company earnings or interest rates. The Reading points to the VIX, an index of how much volatility options traders expect in the US market over the next month, as the closest avail-

able gauge of investor sentiment — often called the market's "fear gauge" because it stays low when markets are calm and jumps when investors rush to buy protection during a sell-off. [3.1]

**Lender of last resort.** The role a central bank plays when it lends cash to a fundamentally sound bank that is short of ready money, taking good collateral in exchange, so the bank does not have to sell assets in a panic during a run. The Reading's example is the United Kingdom's Northern Rock in 2007: queues formed outside its branches during a bank run until the government guaranteed its deposits, showing what happens when this backstop is not seen as credible quickly enough. [2.5]

**Leverage (bubbles).** The use of cheap or borrowed money to buy an asset, which lets buyers bid prices up further than their own cash alone would allow, and which the Reading names as one of the three forces, alongside herd behaviour and "this time is different" thinking, that carry an asset bubble upward — as seen in the soaring, credit-fuelled land values behind Japan's late-1980s bubble. [3.2]

**Listing.** The process by which a company's shares begin trading on a public stock exchange, most often achieved through an initial public offering. The Reading notes that the number of American listed companies peaked at more than 8,000 in 1996 and is now roughly half that, as a growing pool of private capital, estimated at around US\$22 trillion worldwide by 2024, has let big companies raise billions and delay listing for years. [2.1]

**Market capitalisation.** The total value of a company's shares, calculated by multiplying its share price by the number of shares it has outstanding. The Reading explains that a stock index is a single number tracking a basket of shares weighted by market capitalisation, which is part of why index concentration — a small number of very large companies dominating an index's total value — has become such a significant driver of overall market moves. [3.1]

**Market discipline.** The pressure that bond markets place on a government by demanding a higher yield (return) on its debt when investors doubt its fiscal plans, acting as a check on government borrowing that other rules and institutions may lack. The Reading's clearest example is the UK's 2022 crisis, when about GBP 45 billion of unfunded tax cuts caused government bond prices to fall at their fastest rate in decades, forcing the Bank of England into emergency purchases and ultimately costing the prime minister their job after 49 days. [4.2]

**Maturity transformation.** A bank's core function of taking in short-term deposits, which customers can withdraw at any time, and lending most of that money out for years as mortgages and business loans. The Reading identifies maturity transformation as useful for channelling idle savings into productive use, but also as the structural reason every bank is vulnerable to a bank run, since no bank can actually repay all its depositors at once if they all ask together. [2.5]

**Media / broadcast rights.** The right to broadcast or stream sporting or cultural events, sold by leagues, clubs or organisers to television and streaming companies, and now the largest single revenue source in top-level professional sport. The Reading cites the English Premier League's record GBP 6.7 billion sale of its UK live-broadcast rights in December 2023, the largest domestic sports-media deal in UK history, as evidence of how large this revenue stream has become. [4.3]

**Money supply.** The total stock of money circulating in an economy, which the Reading points out is overwhelmingly made up of commercial-bank deposits — money created when a bank lends, existing only as entries in a ledger — rather than central-bank cash. This matters because it means “the future of money” is mostly a question about what backs and moves those bank deposits, not about physical cash. [4.5]

**Over-indebtedness.** A situation in which a person or household owes more debt than they can realistically manage given their income, often involving multiple loans from different lenders at once. The Reading uses Japan's 2006 consumer-finance reform as its central example of a policy response to over-indebtedness: the maximum interest rate on unsecured consumer loans was cut to 20% and total non-bank borrowing was capped at one-third of a person's annual income, after which the number of people juggling loans from several lenders fell sharply. [1.2]

**Pay ratio.** The ratio between a company's chief-executive pay and the pay of its median (middle-ranked) employee, a figure companies are now required to disclose in several countries. The Reading reports that US listed companies have had to publish this ratio since 2018, revealing that the chief executives of the 350 largest US companies were paid about 281 times as much as a typical worker in their industry in 2024 — a gap the reading contrasts with Japan's much lower typical ratio of roughly 10 times. [2.4]

**Payout rule.** A legal minimum share of its assets that a foundation must give away each year to keep its tax-exempt status. The Reading notes that in the United States a private foundation must

distribute only about 5% of its assets a year, a low bar that critics argue lets a foundation exist in principle forever while still enjoying its tax advantages — one of the structural features that spend-down foundations and unrestricted-giving donors have tried to answer differently. [4.4]

**Peak-to-trough decline.** The percentage fall in an asset's price from its highest point (peak) to its lowest point afterward (trough), used to measure the full severity of a market crash. The Reading calculates that the Dow Jones Industrial Average fell from a peak near 381 in September 1929 to a trough of 41.22 in July 1932, a peak-to-trough decline of about 89%, and that it then took until November 1954 — a quarter of a century — to regain its 1929 level. [3.2]

**Philanthropy.** The practice of using private money to fund public benefit, on a larger and more structured scale than ordinary charity, typically through an endowed foundation that gives away a share of its investment returns each year. The Reading distinguishes philanthropy from simple charity precisely on this point of structure, and examines how large philanthropic actors such as the Gates Foundation and MacKenzie Scott have tried to address criticisms that big philanthropy is subsidised by taxpayers yet accountable to no electorate. [4.3, 4.4]

**Phishing.** A fraud technique in which criminals send messages, often emails or texts, that copy a real bank or other trusted organisation in order to trick the recipient into revealing personal or financial information. The Reading lists phishing among the organised, industrial methods that make up modern fraud, alongside fake investment platforms, impersonation calls and “romance” approaches that build a relationship before asking for money. [1.5]

**Platform work.** Paid tasks or jobs arranged through an app or website, such as food delivery or ride-hailing, that connect a worker directly with customers without a traditional employer relationship in between. The Reading opens with a delivery rider who logs into an app for a few hours with no set shift and no manager, and reports that the International Labour Organization estimates the number of digital labour platforms worldwide grew about five-fold in the decade to 2020. [2.3]

**Price-taker.** A country, company or individual too small in a given market to influence the price of what it buys or sells, so it must simply accept (“take”) whatever price the global market sets. The Reading applies this to Japan's position in commodity markets: because it produces almost none of the oil, gas or coal it uses, and its food

self-sufficiency rate was only 38% in fiscal 2023, it is close to a pure price-taker with no ability to move world prices in its favour. [3.3]

**Private equity.** Money raised by a company from founders, venture capital funds or buyout firms while the company remains privately owned rather than listed on a public stock exchange. The Reading gives SpaceX as its example, noting that the company raised money at a valuation of around US\$400 billion in 2025 — larger than most listed companies — entirely through private equity, without ever offering its shares on an exchange. [2.1]

**Progressive / regressive tax.** A progressive tax takes a larger share of income from higher earners than from lower earners; a regressive tax does the opposite, taking a larger relative share from lower earners. The Reading raises this distinction directly about VAT, which is often criticised as regressive because it takes a bigger share of a low earner's income than a high earner's, even though it is applied at the same rate to everyone's purchases. [4.1]

**Purchasing power.** The amount of goods and services that a fixed sum of money can actually buy, which falls as prices rise (inflation) and rises as prices fall. The Reading uses purchasing power to explain why inflation matters in practice: it is not just that prices go up, but that wages and savings usually do not keep pace, so the same amount of money buys less than before. [1.1, 1.3, 3.3, 3.4]

**Reimbursement.** Repayment made to a fraud victim to cover money they lost, whether by the bank that handled the transfer or by another party. The Reading's example is the United Kingdom's rule, in effect from October 2024, requiring banks to reimburse most victims of authorised push payment fraud up to GBP 85,000 per claim, with the cost split between the sending and receiving banks — a much stronger guarantee than victims typically get in the United States or Japan. [1.5]

**Rent control.** A government rule that limits how much landlords can charge for rent or how quickly they can raise it. The Reading's example is Berlin's 2020 rent cap, which was struck down the following year by Germany's Federal Constitutional Court on the grounds that the city itself had no legal power to set such a cap — illustrating one of the different levers governments have tried, with mixed legal and practical success, to address housing affordability. [1.4]

**Say-on-pay vote.** A shareholder vote on a company's executive pay policy or a specific pay package, which may be either binding (the com-

pany legally cannot pay outside an approved policy) or merely advisory (the board can proceed even after a "no" vote). The Reading contrasts the UK and much of Europe, where the vote is binding, with the United States, where it is only advisory, and cites Netflix shareholders rejecting the company's executive pay package in an advisory vote in 2023 as an example of a vote against pay that still did not legally block it. [2.4]

**Scam.** A dishonest scheme designed to trick someone into giving up money, covering a wide range of specific methods from fake investments to impersonation calls. The Reading traces how Japan has fought "special fraud" scams for two decades, often beginning with a phone call from someone posing as a relative in trouble or a police officer, with losses hitting a record JPY 72 billion in 2024, up nearly 60% in a year, and about 45% of victims aged 75 or over. [1.5]

**Secured loan.** A loan backed by a specific asset, such as a house or a car, which the lender can seize and sell if the borrower stops repaying, which is why secured loans typically carry lower interest rates than unsecured ones. The Reading uses a mortgage as its main example of a secured loan, explaining that this security is the main reason a US mortgage charged about 6.7% in 2026 while an unsecured credit card charged about 21%. [1.2]

**Seed funding.** The earliest money a startup raises, typically from founders, friends and specialist early investors, used to buy the company time to build a product and find its first customers before it seeks larger venture-capital funding rounds. The Reading places seed funding as the first stage in a longer sequence of startup fundraising, each round tied to reaching a specific milestone before the next one is sought. [2.2]

**Self-employed.** Working for oneself rather than for an employer, without the legal protections — such as minimum wage, paid leave or employer pension contributions — that come with employee status. The Reading frames the "employee or self-employed" question as the core legal dispute in the gig economy, noting that the answer decides who bears the cost of holidays, illness and old age for platform workers such as delivery riders. [2.3]

**Self-sufficiency rate.** The share of a country's food (or other resource) consumption that is produced domestically rather than imported, usually measured on a calorie basis. The Reading reports that Japan's food self-sufficiency rate was 38% in fiscal 2023, below the government's own 45% target, which is part of why the country is described as close to a pure price-taker in global

food markets, alongside the exception that Japan grows almost all its own rice yet still saw sharp price rises in 2024. [3.3]

**Social-security contributions.** Payments, usually deducted from wages, that fund state pensions, health care and other social insurance programmes, distinct from general income tax. The Reading reports that social-security contributions raise roughly a quarter of revenue in a typical OECD country, and identifies Japan's heavy reliance on wage-based social-security contributions, rather than higher income-tax rates, as one response to an ageing population needing ever more pension and health-care spending. [4.1]

**"Soft power."** Influence a country or its institutions gain through visibility, culture and goodwill rather than through military or direct economic force. The Reading uses soft power as one of three aims Saudi Arabia's Public Investment Fund states for buying sports assets such as Newcastle United and LIV Golf, alongside a financial return and building a domestic entertainment industry. [4.3]

**Sovereign credit rating.** An assessment by a credit rating agency of how likely a national government is to repay its debt in full and on time, which affects how cheaply that government can borrow. The Reading uses the United States as its example, noting it has now been downgraded by all three major rating agencies — S&P in 2011, Fitch in 2023, and Moody's in May 2025 — each citing large and growing deficits, even though its bonds remain the world's benchmark safe asset. [4.2]

**Sovereign wealth fund.** A state-owned investment fund, often built from a country's natural-resource revenues, that invests on behalf of its government and citizens, sometimes pursuing goals beyond pure financial return. The Reading's example is Saudi Arabia's Public Investment Fund, which bought Newcastle United for about GBP 305 million in 2021 and put roughly US\$5 billion into LIV Golf, stating three aims at once: financial return, "soft power," and building a domestic entertainment industry. [4.3]

**Speculative mania.** A period of buying driven mainly by the expectation of further price rises, rather than by any assessment of an asset's underlying value, marking the point at which an asset-price boom becomes a bubble. The Reading uses the 1637 Dutch tulip-bulb episode, where a single bulb had earlier traded for a house and farmland, as the oldest well-documented example of a speculative mania, noting that almost every element of it has recurred in bubbles since. [3.2]

**Spend-down (sunset) foundation.** A foundation that commits in advance to giving away all of its assets and then closing permanently, rather than existing indefinitely on a small annual payout. The Reading's example is the Gates Foundation, which announced in May 2025 that it would spend roughly US\$200 billion over the next 20 years — about double what it gave away in its first 25 years — and shut permanently by the end of 2045. [4.4]

**Sponsorship.** Payment made by a company to a sports team, event or cultural organisation in exchange for exposure to its audience, forming part of the commercial revenue base at the elite end of sport and culture. The Reading lists sponsorship alongside media rights, ticketing and player transfers as one of the revenue sources that let top European football clubs, such as Real Madrid, generate over EUR 1 billion in a single year. [4.3]

**Stablecoin.** A privately issued digital token whose value is pegged to a national currency, overwhelmingly the US dollar, so that one unit is designed always to be worth about one dollar. The Reading reports that stablecoins reached a combined value of about US\$250 billion by mid-2025, with reported transfer volume of roughly US\$33 trillion in 2025, though it cautions that most of this is automated trading rather than everyday payments, with real payment use growing mainly in cross-border transfers and dollar access in high-inflation economies. [4.5]

**Startup.** A newly founded company, usually built around an untested product or business model, that typically raises money in stages from outside investors while it tries to grow quickly. The Reading opens with the stark survival odds for new US businesses generally — about eight in ten survive their first year, about five reach year five, about three reach year ten — and notes that among venture-capital-backed startups specifically, roughly three in four never return their investors' cash. [2.2]

**Stock-based pay.** Compensation given to an executive in the form of company shares or share options, which vest (become the executive's own property) over several years, so its ultimate value rises and falls with the share price. The Reading identifies stock-based pay as now making up the large majority of a big American chief executive's total package, which is why supporters call it pay for performance while critics call it a windfall in a rising market. [2.4]

**Stock index.** A single number that tracks the combined value of a basket of shares, usually weighted by each company's market capitalisation, used as a shorthand measure of how "the

market” as a whole is performing. The Reading’s main example is the S&P 500, the main US stock index, which returned about 18% in 2025 — a figure the Reading breaks down further to show how much came from earnings growth rather than investors simply paying more per dollar of profit. [3.1]

**Strategic reserve.** A government-held stockpile of a critical resource, such as oil, kept specifically to be released during a supply shock to ease price pressure. The Reading reports that the United States released 180 million barrels from its strategic petroleum reserve at the end of March 2022, the largest drawdown in its history, in response to the oil-price spike following Russia’s invasion of Ukraine. [3.3]

**Sudden stop.** A sharp, sudden reversal of the foreign capital flowing into a developing country, typically triggered when global interest rates rise or investor risk appetite falls elsewhere. The Reading identifies the sudden stop as the recurring danger facing emerging markets, illustrated by the 2022 shock when the US Federal Reserve tightened policy and investors pulled back from riskier assets worldwide, causing heavily dollar-indebted countries such as Sri Lanka to default while countries with deeper reserves, such as India and Indonesia, absorbed the shock. [3.5]

**Supply shock.** A sudden, significant disruption to the supply of a commodity that pushes its price up sharply and quickly, as distinct from a slower, structural change in supply or demand. The Reading’s central example is the 2022 wheat and oil supply shock following Russia’s invasion of Ukraine, which the UN and Türkiye partly reversed for grain by brokering a shipping corridor that moved about 33 million tonnes of grain out of Ukraine’s Black Sea ports over the following year. [3.3]

**Tax incidence.** The question of who actually bears the economic burden of a tax, which is not always the same as who is legally required to hand the money over to the government. The Reading illustrates this with value-added tax, which is collected from businesses but paid in practice by final consumers, and with corporate tax, which is legally paid by companies but whose real burden is shared, in disputed proportions, among shareholders, employees and customers. [4.1]

**Tax-advantaged account.** A savings or investment account that receives special tax treatment from the government, such as tax-free growth or delayed tax, designed to encourage long-term saving and investing. The Reading gives Japan’s reformed NISA, alongside the UK’s ISA and the US

401(k) and IRA, as examples, reporting that after Japan’s January 2024 reform sharply raised the tax-free limits, NISA accounts reached about 27 million by mid-2025. [1.3]

**Tax-to-GDP ratio.** Total tax revenue collected by a government expressed as a share of the size of its economy (GDP), used to compare how heavily different countries are taxed overall. The Reading reports that this ratio averaged about 33.9% across the OECD in 2023, ranging from about 17.7% in Mexico to about 43.8% in France, showing that countries at similar income levels can choose very different overall tax burdens and structures. [4.1]

**“This time is different” thinking.** The belief, common during an asset bubble, that a past pattern of booms ending in a crash does not apply this time because current conditions are supposedly different or better. The Reading names this thinking, alongside cheap or borrowed money and herd behaviour, as one of the three forces that carry a price far above any sensible estimate of an asset’s real worth, running through every historical bubble it traces, from the 1637 Dutch tulip-bulb collapse to the 2022 Luna cryptocurrency crash. [3.2]

**Time horizon.** The length of time before money that has been saved or invested will actually be needed, which determines whether it makes more sense to keep it safe as cash or invest it in assets whose value can fluctuate. The Reading explains that money needed next year should be saved rather than invested, because a fall in value cannot be waited out in time, whereas money not needed for decades can be invested because market ups and downs tend to even out over a long time horizon. [1.3]

**Tokenised deposit.** A bank deposit represented as a digital token on a shared electronic ledger, allowing payment and settlement to happen together instantly rather than through today’s separate, slower banking processes. The Reading describes banks and central banks as separately piloting tokenised deposits on shared ledgers, distinguishing this bank-issued approach from privately issued stablecoins and from a central-bank digital currency. [4.5]

**Unicorn.** A private company (one not listed on a public stock exchange) that investors value at over US\$1 billion. The Reading contrasts Japan, estimated to have only about seven unicorns in 2023, with the United States, which had more than 600 at the same time, while noting that the Japanese government adopted a five-year plan in 2022 to lift the number of Japanese startups and

unicorns using public money and tax incentives. [2.2]

**Unsecured loan.** A loan not backed by any specific asset the lender could seize if repayment stops, which is why unsecured loans, such as credit-card debt, typically carry much higher interest rates than secured loans like mortgages. The Reading's example is Japan's pre-2006 consumer-finance market, where unsecured consumer loans could legally charge between 20% and 29% a year before a reform closed the legal gap that had allowed such high rates and capped the maximum at 20%. [1.2]

**Upzoning.** A change to local planning rules that allows more or denser housing to be built on a given piece of land than was previously permitted. The Reading's example is Auckland's 2016 decision to loosen its zoning rules citywide, after which research found the number of new homes approved each year roughly doubled and rents in the city rose more slowly than in the rest of New Zealand. [1.4]

**Value-added tax (VAT) / consumption tax.** A tax added to the price of most goods and services at the point of sale, collected by businesses but ultimately paid by the final consumer. The Reading traces Japan's version, the consumption tax, from its introduction at 3% in 1989 through increases to 5% (1997), 8% (2014) and 10% (2019), noting that despite each rise being politically costly, it is now Japan's largest single national tax because it reliably raises revenue from a population with a growing share of retirees. [4.1]

**Venture capital.** Money raised from pension funds, universities and wealthy individuals and placed into young, high-risk companies in exchange for equity, on the expectation that most investments will fail but the rare success will return many times its cost. The Reading reports that global venture investment reached roughly US\$440 billion in 2025, with nearly half going to artificial intelligence companies, and traces how each successive funding round a startup raises is usually tied to a specific milestone. [2.1, 2.2]

**Volatility.** How much and how quickly an asset's price moves up and down over a given period, used as a measure of market risk and uncertainty rather than of direction. The Reading points to the VIX, an index of the volatility that options traders expect in the US market over the next month, as the standard way this is measured, noting that it stays low in calm markets and jumps when investors rush to buy protection during a sell-off. [3.1]

**Worker status.** The legal category a person is placed in for employment-law purposes — em-

ployee, self-employed, or, in some countries, an intermediate category — which determines which protections and benefits apply to them. The Reading uses the United Kingdom's 2021 Supreme Court ruling that Uber drivers are "workers," a middle category bringing minimum wage and paid leave, as its central example of how courts have had to resolve worker-status disputes that platform companies' own contracts did not settle. [2.3]

**Zoning.** Local planning rules that control what can be built on a given piece of land, including how much housing is allowed and at what density. The Reading identifies restrictive zoning as one of the two main reasons housing supply is slow to respond to rising demand (the other being limited land), and contrasts it with Auckland's 2016 decision to loosen its zoning rules, which roughly doubled the number of new homes approved each year. [1.4]





**Avanti Staff**